

Management Accounting

Definition: Measures, analyzes, and reports financial and nonfinancial information.

Purpose: Helps managers make decisions to fulfill organizational goals.

Key Managerial Uses:

- Develop, communicate, and implement **strategy**.
- Coordinate **product design, production, and marketing**.
- **Evaluate performance**.

Reporting Rules: No set principles or rules (like GAAP). Focus is on:

1. How the information helps managers.
2. Do **benefits exceed costs** (cost-benefit analysis).

Purpose		Management Accounting	Financial Accounting
Purpose of information		Help managers make decisions to fulfill an organization's goals	Communicate organization's financial position to investors, banks, regulators, and other outside parties
Primary users		Managers of the organization	External users such as investors, banks, regulators, and suppliers
Focus and emphasis		Future-oriented (budget for 2011 prepared in 2010)	Past-oriented (reports on 2010 performance prepared in 2011)
Rules of measurement and reporting		Internal measures and reports do not have to follow GAAP but are based on cost-benefit analysis	Financial statements must be prepared in accordance with GAAP and be certified by external, independent auditors
Time span and type of reports		Varies from hourly information to 15 to 20 years, with financial and nonfinancial reports on products, departments, territories, and strategies	Annual and quarterly financial reports, primarily on the company as a whole
Behavioral implications		Designed to influence the behavior of managers and other employees	Primarily reports economic events but also influences behavior because manager's compensation is often based on reported financial results

The Role of Cost Accounting

Measures, analyzes, and reports financial and nonfinancial information related to the **costs of acquiring or using resources**.

Relationship: Cost accounting acts as a **bridge**, providing information for **both** management and financial accounting.

Examples:

Financial Accounting Need: Calculating **inventory valuation** (cost of product).

Management Accounting Need: Decision-making, such as **product pricing** or **promotion choices**.

Modern View: Collecting cost information is a function of the **management decisions** being made.

Uses in Planning and Control

Management accounting helps managers perform three vital activities:
Planning, Controlling, and Decision Making.

1. Planning (Setting Goals)

- **Definition:** Establishing goals and specifying how to achieve them.
- **Key Questions (e.g., P&G Recruiting):** How many students to hire?
What schools? What budget?
- **Tool:** A **Budget** is a detailed plan for the future, expressed in formal quantitative (number) terms.

Uses in Planning and Control (Cont'd)

2. Controlling (Monitoring & Executing)

Definition: **Gathering feedback** to ensure the plan is executed properly or modified as needed.

Key Questions: Did we meet the hiring goals? Did we stay within the budget?
Why did performance exceed/fail expectations?

Tool: A **Performance Report** compares **budgeted data to actual data** to identify and learn from deviations (both good and bad).